AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B124
Fundamentals of Accounting

Final Examination - Version (B)

2024-2025 / Summer

3-Sep-2025

Number of Exam Pages: 5 (including this cover sheet)	**Time Allowed: 3 Hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the exam
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Poli

Question 1 (25 marks)

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A- Choose the correct answer for the following items. (25 marks, 2.5 each)

1) Which one of the following appears below Trial balance and that needs end period adjustment?
A) Closing inventories
B) Expenses paid
C) Cash paid to vendors
D) Bank loans settled

2) Expenses payable is .....
A) Asset.
B) Liability.
C) Expense.
D) Income.

3) . A debit balance in Trial balance and a further debit comes from end of year adjustments, thus the net effect is.
A) Debit + Debit
B) Debit – Debit
C) Debit – Credit
D) None of the above

4) Which of the formula correctly represents the total product cost?
A) Materials - Labour + Manufacturing Overhead
B) Materials + Labour - Manufacturing Overhead
C) Materials + Labour + Manufacturing Overhead
D) Materials - Labour - Manufacturing Overhead

5) Which one of the following is not a product cost
A) Direct Materials
B) Direct Labour
C) Manufacturing overheads
D) Advertisement expenses

6) Costs **Not** related to manufacturing of products is termed as.....
A) Product Cost
B) Service Cost
C) Period cost
D) After sales service cost

7) If the total variable cost is $ 25, 000 and the total cost is $ 45,000, what is the total fixed cost?
A) 45,000
B) 60,000
C) 70,000
D) 20,000

8) Depreciation of delivery equipment is an example of.....
A) Manufacturing cost
B) Administrative cost

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C) Marketing and selling cost
D) Variable cost

9) Cost that can be easily and conveniently traced to a unit of product or other cost object is known as:
A) Fixed cost
B) Direct cost
C) Variable cost
D) Indirect cost

10) If direct material is $25,600, direct labor is $ 9,400 and manufacturing overhead is $ 20,000. Then the conversion cost is:
A) 25,000
B) 35,000
C) 45,900
D) 29,400

Question 2 (25 marks)

Below is a trial balance of **XYZ** Company at 31 December 2021.

Trial balance for XYZ at 31 December 2024

	Debit	Credit
	$	$
Sales revenue		800,000
Inventory (as at 1 January 2021)	105,800	
Purchases	625,200	
Non-current assets at cost:		
Land	100,000	
Motor vehicle	80,000	
Accumulated depreciation:		
Motor vehicle		10,000
Rent	30,000	
Heating and lighting	10,000	
Salaries and wages	98,500	
Receivables	110,000	
Allowance for receivables		4,000
Payables		11,500
Cash	71,000	
Bank loan		100,000
Capital		305,000
Total	1,230,500	1,230,500

Additional information is provided for use in preparing the company's adjustments:

1 The value of closing inventory is $102,500.
2 The heating bill will arrive on 5 January and about $1,000 is expected to relate to the period until 31 December.

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3 XYZ finds that receivables of $10,000 need to be written off as irrecoverable.
4 The allowance for receivables is to be set at ten per cent of the remaining outstanding receivables as at 31 December 2024.
5 On December 1, XYZ Company borrowed $100,000, at 6% annual interest, from the National Bank. XYZ has 120 days before the first payment is required.
6 On 1st April 2024 XYZ has paid her annual rent $24,000 until 31 March 2025.
7 Motor vehicles are depreciated by 20% on reducing balance basis.

Required:

1. Make the end-of-period adjustments entries (20 Marks)
2. What would be the effect on the financial statements at December 31, 2024, if the adjusting entry for the heating bill was recorded twice at the end of the year? (5 Marks)

Question 3 (25 marks)

A- AAA company reports the following information pertaining to its 2024 operating activities:

	Beginning of 2024 ($)	*During 2024 ($)*	*End of 2024 ($)*
Direct material inventory	25,000		30,000
Work-in-process inventory	32,000		36,000
Finished goods inventory	55,000		60,000
Purchases of direct material		50,000	
Direct manufacturing labor		40,000	
Depreciation – plant, building, and equipment		20,000	
Repair and maintenance – plant		22,000	
Marketing, distribution, and customer-service costs		8,000	
General and administrative costs		12,000	
Sales revenue		210,000	

Required: Prepare a manufacturing account for AAA Company for 2024. **(7 Marks)**

B- Rolland Enterprises makes product R1 and estimated costs for the second half of year 2014 as:

Month	*Units Produced*	*Total Costs*
July	1,400	220,000
August	2,000	280,000
September	2,200	300,000
October	1,800	260,000
November	1,200	200,000
December	1,600	240,000

Required **(8 Marks)**

1. Use high-low method to compute the variable and fixed elements of Rolland's total costs.
2. Estimate the total cost of making 2,600 units, assuming total fixed costs and variable cost per unit do not change.

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C- Hamad Park sells tickets at $60 per person as a one-day entrance fee. Variable costs are 40% of ticket price, and fixed costs are $226,800 per month.

Required: **(10 Marks)**

1- Compute the number of tickets Hamad Park must sell to break even.
2- Compute the sales revenue Hamad Park needs to break even.
3- What will be the effect on net income if the Hamad sold tickets less than break- even? Explain.
4- How many tickets Hamad Park must sell to achieve a target profit of $180,000
5- If Hamad Park expects to sell 7,000 tickets, what will be its contribution margin and its net operating income?

Question 4 (25 marks)

A- The following details relate to Hope Company that produces three products:

	Product A	**Product B**	**Product C**
Selling price per unit	60	40	30
Variable costs per unit	36	30	12

A particular machine is the bottleneck. On that machine, 3 machine hours are required to produce each unit of Product A, 1 hour is required to produce each unit of Product B, and 2 hours are required to produce each unit of Product C.

Required: Rank the products from the most profitable to the least profitable use of the constrained resource (bottleneck). (6 Marks)

B- XYZ Company manufactures wooden chairs. XYZ's accounting system reports the following information that will be used to prepare the required budgets:

a. The estimated sales for the remainder of the year are as follows:

	July	August	September	October
Budgeted unit sales	42,500	95,000	64,000	32,500
Budgeted sales ($)	$425,000	950,000	640,000	325,000

b. All sales are on credit, and it will be collected as follows: 30% in the month of sale, 70%in the month following sale. Total Sales of June were $440,000.

c. The management of XYZ Company keeps its ending inventory equal to 15% of the following month's sales.

Required: **(19 marks)**

1. Prepare the expected cash collections schedule, by month and in total, for the third quarter.
2. Prepare the production budget, by month and in total, for the third quarter.

"End of Questions"

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